Cardinal Infrastructure (CDNL): Buy

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A headline-driven plunge has left a hyper-growth contractor trading as if its revenue will shrink. At $15.79, the market prices a negative 11% revenue CAGR against an $866M backlog. Our DCF sees a $31.96 base case, 102% upside.

Buy	$31.96	$15.79	+102%
RATING	BASE TARGET (BLENDED $32.70)	SPOT (OCT 14, 2026)	UPSIDE TO BASE

$18.83 / $48.04	8.26%	$866M	+114%	$880-900M	$144M
BEAR / BULL TARGETS	LIVE WACC	CONTRACTED BACKLOG	Q2 REVENUE YOY	FY2026 GUIDE	NET CASH

Executive summary

We update Cardinal Infrastructure to a **Buy** with a $31.96 base-case target (blended $32.70). CDNL is a hyper-growth civil infrastructure contractor in the Southeast, compounding through organic share gains (64% organic growth in Q2) and disciplined M&A. Q2 2026 revenue hit $226.9M (+114% YoY), backlog stands at $866M (+35%), and management raised FY2026 guidance to $880-900M.

The stock has collapsed on ALGC acquisition integration issues and a securities fraud investigation. We do not dismiss these risks, but the price now implies the business is in structural decline. Our five-year DCF (8% / 15% / 22% revenue CAGRs, FCF margins normalizing to 4.5% / 6.5% / 8.0%) yields Bear $18.83, Base $31.96, Bull $48.04 at an 8.26% live WACC, which now includes a 1% cyclical risk premium matching ROAD as peers.

> **Our read:** the market is pricing in failure. Our reverse DCF shows $15.79 implies a **negative 11% revenue CAGR** through 2030, or about $500M of revenue versus the $890M guided for this year. The stock is valued as if the $866M backlog, the Allied Paving acquisition, and the Southeast infrastructure cycle are all worthless. If the investigation resolves without material damage, the re-rating could be violent.

Base-case assumptions

INPUT	BEAR	BASE	BULL
5-yr revenue CAGR (FY26-30)	8%	15%	22%
2030 revenue ($M)	1,306	1,789	2,405
2030 FCF margin	4.5%	6.5%	8.0%
Terminal growth	2.5%	2.5%	2.5%
Target per share	**$18.83**	**$31.96**	**$48.04**

WACC 8.26% live (spot 10Y + 0.74 beta x implied ERP, plus 1% cyclical risk premium matching ROAD as peers). Gordon terminal. Net cash $144M; 47.5M shares (Class A + B, Q2 2026 10-Q).

> **A note on the discount rate.** Raw CAPM gave CDNL a 7.4% WACC, a utility-like hurdle that understates the risk of a cyclical, acquisitive contractor. We have added an explicit 1% cyclical risk premium, matching ROAD as peers, for a live WACC of 8.26%. Targets recalibrate to $18.83 / $31.96 / $48.04 (blended $32.70). The ERP tab is untouched live market data.

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Bull case: $48.04 SOUTHEAST SUPER-CYCLE

If data-center buildouts accelerate, public infrastructure dollars flow, and the M&A playbook compounds, revenue grows at 22% to $2.4B by 2030 with 8% FCF margins. The market re-rates CDNL from distressed to a premier regional consolidator. Worth $48.04, or 3.0x the current price.

Bear case: $18.83 ALGC IMPAIRS THE MODEL

The investigation uncovers material issues, ALGC integration drags for years, and subcontractor reliance permanently impairs margins. Revenue grows at just 8% to $1.3B, FCF margins stall at 4.5%. Even here, the stock is worth $18.83, 19% above spot. The $144M net cash and $866M backlog put a floor under the equity.

Verdict

We rate CDNL Buy. The bear case ($18.83) sits 19% above spot, which means the downside is limited while the base case ($31.96) offers 102% upside. That is the definition of asymmetric. The key variable is the investigation: a clean resolution re-rates the stock toward our base case quickly, while adverse findings would test the bear case. Size accordingly, but the market's implied revenue decline is disconnected from the contracted backlog in hand.

What would change our mind

- **Investigation findings:** material fraud or restatement would invalidate the backlog and margin assumptions.
- **Backlog burn:** two consecutive quarters of backlog decline would signal the growth story is broken.
- **Margin collapse:** adjusted gross margins falling below 12% would confirm the subcontractor mix shift is structural.

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Key themes

1. The Southeast infrastructure cycle is real ACCELERATING

Population growth in the Carolinas and Georgia, data-center campuses, and state/federal infrastructure dollars create a multi-year demand backdrop. CDNL's route density in these markets is a genuine competitive advantage.

2. The M&A playbook is working ACCELERATING

ALGC ($245.5M) and Allied Paving ($108M revenue at 5.5x EBITDA) show disciplined capital deployment. The $339M cash position (post follow-on offering) funds further accretive deals. Integration execution is the risk, not the strategy.

3. Backlog de-risks the near term STABLE

$866M of contracted backlog covers roughly 1.0x NTM revenue. The $24M data-center campus contract signals the mix shift toward higher-value industrial work.

4. Margin pressure is the watch item DECELERATING

Q2 adjusted gross margin compressed to 15.9% from 21.3% on subcontractor reliance and weather disruptions. Management guides 16-18% adjusted EBITDA margins for FY2026; delivery on this is critical.

5. The investigation is the overhang STABLE

The securities fraud investigation into ALGC disclosures drove the plunge. Resolution, in either direction, is the primary near-term catalyst.

Other KPIs

METRIC	VALUE
Market cap (at $15.79)	$750M
Enterprise value	$606M
Q2 2026 revenue / YoY	$226.9M / +114%
Q2 organic growth	64%
Q2 adj. EBITDA / margin	$28.1M / 12.4%
Q2 FCF	-$12.0M
Net cash	$144M

Guidance

Management raised FY2026 revenue guidance to $880-900M (our DCF base year at $890M midpoint) with 16-18% adjusted EBITDA margins and $58M of capex. Q3 2026 results are due November 10. Watch the investigation status, backlog conversion, and gross-margin trajectory.

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Reverse DCF: what the market is pricing in

At $15.79, CDNL carries a $750M market cap and a $606M enterprise value. Running the model's own five-year framework in reverse at a flat 6.5% base-case FCF margin, the market-implied revenue CAGR is roughly **negative 11%**, implying 2030 revenue of about $500M versus $890M guided for this year.

SCENARIO	5-YR REVENUE CAGR	TARGET
Market-implied	~-11%	$15.79 (spot)
Bull case	22%	**$48.04**
Base case	15%	**$31.96**
Bear case	8%	**$18.83**

The market is pricing in a business in decline: negative growth against an $866M backlog and $890M of guided revenue. Even the bear case (8% growth, $18.83 target) sits 19% above spot. The disconnect between the contracted revenue and the market's implied trajectory is the opportunity, contingent on the investigation resolving cleanly.

Model

Full three-scenario 5-year DCF with live CAPM, reverse DCF, and implied-ERP tab:

https://docs.google.com/spreadsheets/d/1nVfkphs33rfetykWgjLF59KGy7NE_vIBQKO3CVnqRSA/edit?usp=drivesdk

Risks to our Buy

- Securities fraud investigation uncovers material issues, triggering restatements or management changes.
- ALGC integration fails, permanently impairing the self-performing margin model.
- Residential exposure and pricing concessions compress margins further.
- Small-cap volatility: the stock has traded between $22 and $96 in the past year.

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